

**PRESCOTT VANE LLP —MEMORANDUM TO FILE
PRIVILEGED AND CONFIDENTIAL**

Matter: 2011-0284 —Torvane Industrial Group, Inc. / Kelling Station Unit 2

Author: Arthur Pllum

Date: June 8, 2011

Re: Telephone conference with Rosalind Tenniel, General Counsel —decision on the Brandt Thermal Systems warranty claim

Call at 10:30 this morning, approximately forty minutes, R. Tenniel only.

1. I reviewed with Ms. Tenniel the substance of C. Wisner's May 17 memorandum: the merits of the warranty claim against Brandt Thermal Systems, Inc.; the quantum (approximately \$580,000 incurred excess fuel cost to date and growing); and the limitations analysis, including our conclusion that the claim should be treated as expiring in the first quarter of 2014 and that reliance on later-accrual arguments would be imprudent.
2. I repeated the firm's recommendation of May 19: at minimum, approach Brandt for a standstill/tolling agreement, which preserves the claim at nominal cost without litigation.
3. Ms. Tenniel advised that the company's CEO, with the concurrence of the operations committee, has decided that Torvane will **not** assert the claim and will not seek a tolling agreement, in view of Brandt's position as the sole qualified source for regenerator media and burner assemblies at the company's three plants, and the company's judgment that the supply relationship is worth more than the claim. She instructed that no communication of any kind concerning the claim be made to Brandt.
4. I advised, in plain terms, that the consequence of this election is that the claim will in all likelihood become time-barred by late 2014 at the latest, and that while the decision is a business judgment the company is entitled to make, it will as a practical matter be irreversible once the period runs. Ms. Tenniel confirmed she understood and that the company accepts the consequence.
5. I stated that because the claim arises out of the same project as our engagement, I wanted the record to be unambiguous that it lies outside the scope of what the firm has been retained to do, so that neither of us has to rely on memory later. I asked her to confirm the decision and the scope of the engagement in writing. She agreed to send written confirmation, over her signature, by tomorrow.
6. Follow-up on receipt of the confirmation: close the limitations tickler, annotate the Casebridge matter record, instruct C. Wisner to cease Brandt work.

A.P.